

First Home Savings Account (FHSA) — First-Time Buyer Reference Note

Source: Canada Revenue Agency (canada.ca), current for the 2026 tax year. The First Home Savings Account (FHSA) is a registered plan that helps first-time home buyers save for a qualifying home tax-free. Contributions are tax-deductible (like an RRSP) and qualifying withdrawals to buy a first home are non-taxable (like a TFSA).

Eligibility — a 'qualifying individual' must be a resident of Canada, at least 18 years old, and 71 or younger as of December 31 of the year the FHSA is opened. They must be a first-time home buyer: they did not live in a qualifying home that they (or their spouse or common-law partner) owned as their principal place of residence at any time in the current calendar year or the previous four calendar years.

Contribution limits — the annual FHSA participation room is \$8,000. The lifetime limit on contributions and transfers in is \$40,000. Unused annual room carries forward to the following year up to a maximum of \$8,000 carry-forward, so a holder can contribute up to \$16,000 in a single year. Over-contributions are subject to a 1% per-month penalty tax on the excess.

Tax treatment — contributions are deductible against income and the deduction can be carried forward to a future year. Investment growth inside the FHSA is tax-sheltered. A qualifying withdrawal (to buy a qualifying home — a housing unit in Canada, including a home under construction) is completely tax-free and does not have to be repaid, unlike the RRSP Home Buyers' Plan.

Combining with the RRSP Home Buyers' Plan (HBP) — a buyer can make a qualifying FHSA withdrawal AND withdraw from their RRSP under the HBP for the SAME qualifying home, as long as all conditions for each withdrawal are met. The HBP currently allows an RRSP withdrawal of up to \$60,000, repayable over 15 years; the FHSA portion never has to be repaid. Together they can materially increase a first-time buyer's down payment.

Maximum participation period and unused funds — an FHSA must be closed by December 31 of the year in which the earliest of these occurs: the 15th anniversary of opening the first FHSA, the year the holder turns 71, or the year following the first qualifying withdrawal. If the funds are not used to buy a home, they can be transferred tax-free into an RRSP or RRIF (without affecting RRSP contribution room); otherwise a non-qualifying withdrawal is taxable as income.

Why it matters for the true cost of ownership — the FHSA reduces the effective cost of assembling a down payment by giving a tax deduction on the way in and tax-free growth and withdrawal on the way out. A larger down payment can lower or eliminate CMHC mortgage-default insurance (required below 20% down) and reduce total mortgage interest.